1. Introduction and Study Objectives

- **Goal:** The study aims to identify the root causes (internal and external) hindering Pakistan's economic growth since 1947 and proposes pathways for sustainable development.
- **Context:** Pakistan faces fiscal imbalances, rising inflation, and vulnerabilities in the external sector.
- **Gap in Research:** Most existing studies analyze isolated issues (like trade deficits); this study uses advanced econometric models to provide a comprehensive view of macroeconomic and sectoral factors.

2. Historical Economic Overview & Trends

- **Growth Patterns:**
  - **1960s:** The economy grew at an average of 6.8% annually, outpacing India, largely due to strict government-led planning under authoritarian rule.
  - **1990s:** Liberalization policies (privatization, deregulation) were introduced but failed to fully protect the economy from shocks.
  - **2000s:** Growth rebounded (rising from 1.8% to over 7%), exports doubled, and tax revenue tripled.
  - **External Debt:** During the 2000s, the external debt burden was halved (52% to 26% of GDP).
- **Shocks:**
  - **2010 Floods:** Caused $43 billion in damages, pushing the economy into difficulty.
  - **COVID-19:** The pandemic caused a sharp contraction in GDP in 2020.
  - **FDI Decline:** Foreign Direct Investment fell from $2.56 billion (2020) to $2.06 billion (2021), continuing a decline since 2008.

3. Internal Barriers to Growth

- **Small and Medium Enterprises (SMEs):**
  - **Significance:** SMEs contribute over 30% to GDP and 25% to exports.
  - **Challenges:** They face limited access to finance, complex regulations, poor infrastructure, and limited market access.

- **Solution:** Enhance financing, simplify regulations, and support international market access [snippet: 12].

- **Labor Market Rigidity:**
  - **Issues:** Rigid labor laws, high hiring/firing costs, and skill mismatches hinder efficiency [snippet: 12].
  - **Unemployment:** The rate rose slightly to 6.42% in 2022.
  - **Solution:** Reform laws for flexibility and invest in skill development [snippet: 12].
- **Tax Evasion:**
  - **Problem:** About half of the potential tax base remains uncollected due to corruption and a complex system.
  - **Impact:** Deprives the government of revenue for public services and infrastructure [snippet: 12].
  - **Solution:** Simplify the tax system and strengthen enforcement [snippet: 12].
- **Regional Inequalities:**
  - **Disparity:** Urban areas have better facilities, while rural regions (especially Balochistan and Khyber Pakhtunkhwa) lag behind [snippet: 12].
  - **Solution:** Increase investment in rural infrastructure, education, and healthcare [snippet: 12].
- **Bureaucracy and Corruption:**
  - **Effect:** Inefficient bureaucracy and deep-rooted corruption slow business processes and discourage investment.
  - **Solution:** Streamline procedures and enforce anti-corruption measures [snippet: 12].

4. External Barriers to Growth

- **Political Instability:**
  - **Impact:** Frequent government changes and coups create uncertainty, discouraging long-term investment [snippet: 14].

    - **Comparison:** Unlike India's stable democracy, Pakistan's instability has delayed constitution-making and economic planning [snippet: 3].
- **Terrorism and Violence:**
    - **Consequence:** Creates insecurity, disrupting domestic and foreign investment, especially in large projects [snippet: 14].
    - **FDI Impact:** Terrorism is a key reason FDI dropped from $8 billion in 2007 to $3.5 billion in 2022.
- **Weak Governance:**
    - **Issue:** Corruption and poor governance hinder the implementation of effective regulations and policies [snippet: 14].
- **Foreign Policy Challenges:**
    - **Strained Relations:** Difficult relationships with neighbors affect trade and limit economic opportunities [snippet: 14].
- **Infrastructure Deficit:**
    - **Shortage:** Lack of energy and transportation infrastructure limits productivity [snippet: 16].
    - **Solution:** Invest in renewable energy and upgrade transport systems [snippet: 16].

5. Theoretical Perspectives: Democracy vs. Authoritarianism

- **Property Rights:** Democracy is argued to foster long-term growth by securing property rights, whereas Pakistan's authoritarian past limited these rights [snippet: 3].
- **Hybrid Regime:** Pakistan operates in a "grey zone" where democracy is constrained by military influence, limiting accountability and long-term reform [snippet: 3].
- **State-Led Growth:** Like Southeast Asia, Pakistan's early growth under military rule benefited from centralized planning, though this came at the cost of democratic institutions [snippet: 7].

6. Pathway to Sustainability: The Circular Economy (CE)

- **Proposal:** The study proposes adopting a **Circular Economy** framework to enhance resilience and environmental sustainability.

- **Definition:** CE focuses on reducing waste, reusing materials, and recycling to lower reliance on raw resource extraction.
- **Global Success:**
    - **Europe:** CE initiatives reduced material extraction by 12% and greenhouse gas emissions by 9% (2010–2018).
    - **Germany:** CE principles in construction and manufacturing fostered both growth and sustainability.
- **Benefits for Pakistan:**
    - **Energy Savings:** Producing aluminum from recycled sources uses 95% less energy than raw materials.
    - **Resilience:** Reduces reliance on imported raw materials and lowers environmental harm.

7. Conclusion and Recommendations

- **Core Findings:** Sustainable growth depends on addressing both internal inefficiencies (bureaucracy, tax evasion) and external threats (political instability, terrorism).
- **Key Reforms Needed:**
    - **Governance:** Strengthen institutions and reduce corruption.
    - **SMEs:** Provide better support and financing.
    - **Infrastructure:** Invest in energy and transport.
    - **Adoption of CE:** Tailor recycling and waste management strategies to the local context to drive economic and environmental resilience.
- **Limitations:** The study notes that reliance on historical data may not fully capture evolving dynamics, suggesting a need for real-time data research.